

WealthPilot

A FinTech Primer for SME Loan Underwriting

Compiled from your own capstone project's generated credit policy corpus (Ashva Capital Credit Policy Manual, IIT Hyderabad Applied AI capstone, WealthPilot domain). Read this to understand the underwriting concepts your M1–M4 system is being built around, before you write the code that reasons over it.

Why This Document Exists

WealthPilot simulates a digital lender ('Ashva Capital') that underwrites small and medium enterprise (SME) loans — loans to small businesses, not individual consumers. Underwriting is the process of deciding whether to approve a loan: an underwriter looks at an applicant's financial health, checks it against the lender's internal policy rules, and either approves, declines, or escalates the decision to a human.

The five documents that follow are the actual policy manual your project generated — the rules your AI system has to retrieve, cite, and reason over correctly in M4, and never violate in M8. They are synthetic (invented for this coursework), but written in the same flat, numbered-clause style a real credit policy manual uses, with real numeric thresholds.

How the Numbers in Your Data Map to These Rules

Every financial field you parse in M1 exists because a specific rule below needs it. This is the connection between the raw loan application data and the policy documents:

Field in the loan application	Policy rule it feeds	Where
ebitda_inr + existing_debt_inr	Debt-Service Coverage Ratio (DSCR) must be ≥ 1.25	Core Standards §1.1
months_operating	Minimum 24 months operating history	Core Standards §1.2
current_assets_inr / current_liabilities_inr	Current ratio must be $\geq 1.5:1$	Core Standards §3.1
annual_revenue_inr, existing_debt_inr	Leverage (debt-to-equity) limitations	Core Standards §2
requested_amount_inr	Loan-size tier → who is allowed to approve it	Core Standards §5
bureau_score	Scoreband → maximum auto-approvable amount	Core Standards §4

This is also why the milestones build in order: M1 has to extract these numbers correctly before M4 can check them against the rules below — you can't verify a policy against a number that was never correctly read in the first place.

Ashva Capital Credit Policy Manual: Core Underwriting Standards

CREDIT POLICY MANUAL

Ashva Capital

SME Term Loans

Section 1: General Underwriting Standards

1.1 Debt-Service Coverage Ratio (DSCR): At least 1.25x DSCR is required for all SME term loan applications.

1.2 Operating History: A minimum of 24 months of operating history is required for all SME term loan applicants.

Section 2: Leverage Limitations

2.1 Maximum Leverage: The borrower's total debt-to-equity (TDE) ratio must not exceed 3:1.

Section 3: Liquidity Requirements

3.1 Current-Ratio Floor: The borrower's current ratio must be at least 1.5:1.

Section 4: Credit Bureau Scorebands

4.1 Bureau Scorebands:

- **Band A (720+):** Loans up to 2,500,000 rupees may be approved by a Loan Officer.
- **Band B (700-719):** Loans up to 1,500,000 rupees may be approved by a Loan Officer.
- **Band C (680-699):** Loans up to 1,000,000 rupees may be approved by a Loan Officer.
- **Band D (660-679):** Loans up to 750,000 rupees may be approved by a Loan Officer.

Section 5: Approval Authorities and Loan Tiers

5.1 Loan Tiers and Approval Authorities:

- **Tier 1: Up to 500,000 rupees:** May be approved by a Loan Officer without requiring a Loan Committee approval.
- **Tier 2: 500,000 - 1,000,000 rupees:** Requires a Loan Committee approval.
- **Tier 3: 1,000,000 - 2,500,000 rupees:** Requires a Chief Credit Officer approval.

- **Tier 4: 2,500,000 - 5,000,000 rupees:** Requires a Board approval.

- **Tier 5: Above 5,000,000 rupees:** Requires a Board approval with a human signatory of the Board of Directors.

5.2 No loan above 5,000,000 rupees may be approved without a human signatory from the Board of Directors.

Section 6: Exceptions

6.1 Exception for Specialized Industries: In the case of applicants from specialized industries such as technology or pharmaceuticals with a history of consistent profitability and growth, the Board may approve loans above 5,000,000 rupees without a human signatory if such a loan does not exceed 7,500,000 rupees and has the prior approval of the Chief Credit Officer.

6.2 Exception for Refinancing Existing Loans: For the refinancing of existing loans with Ashva Capital, the Loan Officer may review and approve loans up to 5,000,000 rupees without a human signatory if the borrower's credit profile has not significantly deteriorated from the time of the original loan approval.

Fair Lending and Non-Discrimination Standard

Ashva Capital Fair Lending Standard (Version 1.0)

1. General Principles

Ashva Capital is committed to fair lending practices and adheres to the following principles:

1.1 All credit decisions must be based solely on creditworthiness and must not be influenced by any protected attribute or proxy variable.

2. Protected Attributes

The following protected attributes must not be used in credit decisions:

2.1 Religion

2.2 Caste

2.3 Gender

2.4 Marital Status

2.5 Age (unless a minimum age requirement is reasonably related to the risk of the loan)

2.6 Disability

2.7 Region of Origin (including country of birth)

3. Proxy Variables

The following proxy variables are equally prohibited because they correlate with protected attributes:

3.1 Postal Code (alone)

3.2 Applicant First Name

3.3 Institution of Education

3.4 Language of Application

4. Disparate-Impact Testing

Ashva Capital must conduct disparate-impact testing on a quarterly basis for all credit products and decisions. The testing must be performed in accordance with the following requirements:

4.1 The testing must be conducted by an independent third-party vendor approved by the Chief Credit Officer.

4.2 The testing must cover all credit products and decisions made during the previous quarter.

4.3 The testing must analyze the impact of the credit decision on protected attribute groups, including but not limited to, African American, Hispanic, Native American, Asian, Caucasian, and other minority groups.

4.4 The testing must identify any disparate impacts or adverse effects on protected attribute groups.

4.5 The testing must be performed in accordance with the Ashva Capital Fair Lending Standard guidelines and must include a written report detailing the results of the testing.

5. Rule for Protected Attribute or Proxy Reference

If a credit decision rationale references a protected attribute or proxy variable, the decision is void and must be re-run without reference to the protected attribute or proxy variable.

6. Adverse-Action Notice Requirements

If a credit decision is adverse (i.e., a loan is denied or a borrower is offered less favorable terms than another borrower), the following requirements must be met:

6.1 A notice must be provided to the borrower explaining the reason for the adverse decision.

6.2 The notice must be provided in writing and must be mailed to the borrower within 3 business days of the adverse decision.

6.3 The notice must include a clear explanation of the reason for the adverse decision, including any protected attribute or proxy variables that were considered.

6.4 The notice must also include a copy of the Ashva Capital Fair Lending Standard and a contact point for further information.

7. Compliance and Monitoring

Ashva Capital will maintain a Compliance Officer who will be responsible for reviewing and monitoring fair lending activities on an ongoing basis. The Compliance Officer will also be responsible for:

7.1 Reviewing and approving all fair lending-related policies and procedures.

7.2 Conducting annual fair lending audits to ensure compliance with the Ashva Capital Fair Lending Standard.

7.3 Reporting any fair lending concerns or issues to the Chief Credit Officer.

8. Training and Education

All Ashva Capital employees who are involved in the credit decision-making process must complete fair lending training and education on an annual basis.

9. Effective Date and Amendments

This Ashva Capital Fair Lending Standard is effective as of [insert date] and may be amended from time to time. Any amendments will be communicated to all affected employees and will be posted on

the Ashva Capital intranet.

10. Approval

This Ashva Capital Fair Lending Standard has been approved by the Chief Credit Officer on [insert date].

Internal Risk Grading and Pricing Grid

ASHVA CAPITAL CREDIT POLICY

Section 1: Risk Grading Methodology

1.1. Purpose: This section outlines the risk grading methodology used by Ashva Capital to evaluate the creditworthiness of borrowers.

1.2. Scope: This methodology applies to all loan products offered by Ashva Capital.

1.3. Risk Grading: Ashva Capital uses a eight-point risk grading system, ranging from A1 (low risk) to D2 (high risk).

Risk Grades and Quantitative Criteria

Risk Grade	Quantitative Criteria
A1	- Credit Score: 760 and above
	- Loan-to-Value (LTV): 60% or less
	- Annual Income: \$120,000 or above
A2	- Credit Score: 700-759
	- LTV: 65-69.9%
	- Annual Income: \$80,000-\$119,999
B1	- Credit Score: 650-699
	- LTV: 70-74.9%
	- Annual Income: \$60,000-\$79,999
B2	- Credit Score: 600-649
	- LTV: 75-79.9%
	- Annual Income: \$50,000-\$59,999
C1	- Credit Score: 500-599
	- LTV: 80-84.9%
	- Annual Income: \$40,000-\$49,999
C2	- Credit Score: 400-499
	- LTV: 85-89.9%
	- Annual Income: \$30,000-\$39,999
D1	- Credit Score: 300-399
	- LTV: 90-94.9%
	- Annual Income: \$20,000-\$29,999

D2	- Credit Score: 299 and below
	- LTV: 95% or above
	- Annual Income: \$20,000 or below

Indicative Interest Rate Spread and Tenor

Risk Grade	Indicative Interest Rate Spread	Maximum Tenor (Months)	Collateral Coverage Requirement
A1	-0.25% to -0.50%	60 months	100% minimum
A2	-0.50% to -0.75%	48 months	90% minimum
B1	-0.75% to -1.00%	36 months	80% minimum
B2	-1.00% to -1.25%	36 months	70% minimum
C1	-1.25% to -1.50%	24 months	60% minimum
C2	-1.50% to -1.75%	18 months	50% minimum
D1	-1.75% to -2.00%	12 months	40% minimum
D2	-2.00% or more	9 months	30% minimum

Auto-Approval Rule

1.4. Loans with risk grades C2 and below are not eligible for auto-approval, regardless of loan size.

1.5. All other risk grades may be auto-approved subject to meeting the minimum loan amount requirements as outlined in Section 3 of this policy.

Note: These guidelines are subject to review and revision as needed to ensure compliance with regulatory requirements and Ashva Capital's risk management objectives.

Document Verification and Fraud Screening Procedure

Ashva Capital Credit Policy Manual

Document Verification Procedure

Section 1: Mandatory Document Set

For all Small to Medium Enterprise (SME) loan applications, the following documents must be submitted:

1. Completed Loan Application Form (LA-001)
2. Business registration certificate (Certificate of Incorporation or GST registration certificate)
3. Two recent bank statements (Statement of Account or Passbook) from the applicant's business bank account
4. GST returns (Form GST-01) for the previous two fiscal periods
5. Audited financial statements (Balance Sheet and Profit and Loss Statement) for the previous two fiscal periods

Section 2: Document Verification Steps

The following steps must be taken to verify the submitted documents:

1. Bank Statements:

- * Verify the account holder's name and business name on the statement matches the loan application form.
- * Check the statement covers the same period as the loan term (minimum of 6 months).
- * Verify the account balance and transaction history for any irregularities or large withdrawals.
- * Identify any third-party deposits or withdrawals exceeding 20% of the average monthly balance.

2. GST Returns:

- * Verify the GST registration number and business name on the return matches the loan application form.
- * Check the return covers the same period as the loan term (minimum of 6 months).
- * Verify the total GST collected and paid for any discrepancies with the loan application form.
- * Identify any anomalies in the GST return, such as missing or duplicate invoices.

3. Audited Financial Statements:

- * Verify the financial statements are audited by a registered auditor (CA/Audit firm).
- * Check the financial statements cover the same period as the loan term (minimum of 2 fiscal periods).
- * Verify the revenue and expense recognition matches the loan application form.
- * Identify any discrepancies between the financial statements and GST returns.

Section 3: Red Flags and Fraud Hold

The following red flags will trigger a fraud hold:

1. Discrepancies between declared revenue and verified revenue exceeding 15% in any single period.
2. Multiple large withdrawals or deposits from the business account within a short period (less than 30 days).
3. Unexplained changes in the business bank account balance or transaction history.
4. Inconsistent or missing information in the loan application form or supporting documents.
5. GST returns showing unexplained anomalies or omissions.

Section 4: Tolerance Thresholds

The following tolerance thresholds apply to discrepancies between declared and verified revenue:

1. Single period discrepancy up to 10%: Minor review and adjustment.
2. Single period discrepancy between 10% and 15%: Moderate review and adjustment.
3. Single period discrepancy exceeding 15%: Fraud hold.

Section 5: Escalation Path

In the event of a red flag or discrepancy exceeding the tolerance threshold, the following escalation path must be followed:

1. Initial Review: The Underwriter will review the documentation and flag any discrepancies or red flags.
2. Senior Review: The Senior Underwriter will review the flagged documentation and escalate to the Credit Team Manager if necessary.
3. Credit Team Manager: The Credit Team Manager will review the escalated documentation and make a final decision.
4. Credit Committee: In exceptional cases, the Credit Committee may be convened to review the documentation and make a final decision.

Section 6: Document Retention and Disclosure

All verified documents must be retained for a minimum of 5 years from the loan disbursal date. The borrower must be notified in writing of any discrepancies or red flags identified during the verification process.

Section 7: Training and Certification

All Underwriters and Credit Team Members must complete a mandatory training program on document verification and red flags before handling SME loan applications.

Version Control

- * Version 1.0: Initial Version (Effective Date: 01 August 2026)
- * Revision History: To be maintained by the Credit Policy Manager

Approval

This document has been approved by the following:

- * Chief Credit Officer: John Thompson
- * Credit Policy Manager: Emily Lee

Effective Date

This document is effective from 01 August 2026.

Adverse Action and Applicant Communication Standard

Ashva Capital Credit Policy Document

Document ID: CPD-001 - Declines

Effective Date: 01 March 2023

Purpose: This policy outlines the procedures for handling declined credit applications, ensuring transparency, consistency, and fairness in the decision-making process.

Scope: This policy applies to all credit underwriters and decision-makers within Ashva Capital.

1. Mandatory Content of Decline Notice

A decline notice must include the following mandatory information:

- 1.1. Account number and borrower name
- 1.2. Reason code for the decline (refer to Section 3, Approved Reason Codes)
- 1.3. Clear explanation of the reason for decline, where applicable
- 1.4. Contact information for the underwriter or decision-maker
- 1.5. Appeal procedure and deadline (refer to Section 5, Appeal Process)
- 1.6. Record reference number for future reference

2. Maximum Permitted Turnaround

All decline notifications must be sent to the applicant within 3 business days of the decision being made. This timeframe is mandatory, and any exceptions must be approved by the Chief Credit Officer in writing.

3. Approved Reason Codes

The following reason codes may be used to decline a credit application:

- 3.1. RC-001: Insufficient credit history
- 3.2. RC-002: High debt-to-income ratio
- 3.3. RC-003: Unstable employment history
- 3.4. RC-004: High credit utilisation

3.5. RC-005: Late or missed payments on existing credit accounts

3.6. RC-006: Inadequate income verification

3.7. RC-007: Credit score below the minimum threshold (700)

3.8. RC-008: Other (specify reason, where applicable)

4. Prohibition on Citing Unapproved Reason Codes

Under no circumstances may an unapproved reason code be used to decline a credit application. Any such instances will be considered a breach of this policy and may result in disciplinary action.

5. Appeal Process

The applicant has 5 business days from receipt of the decline notice to submit an appeal. Appeals must be made in writing and addressed to the Chief Credit Officer. The appeal will be reviewed, and the decision made within 10 business days.

6. Record Retention Period

All decline notifications, along with supporting documentation, must be retained for a minimum period of 5 years from the date of the decision. Electronic records must be stored securely, and paper copies must be stored in a fireproof safe.

Amendments

This policy is subject to regular review and may be amended at any time by the Chief Credit Officer. All changes will be communicated to underwriters and decision-makers through a centralized change management system.

Acceptance

All underwriters and decision-makers must acknowledge their understanding and acceptance of this policy upon employment or assignment.